
METAL MAN

Satish Pai has placed Hindalco firmly on a long-term growth trajectory. There is a lot of traction left in the aluminium space and there is the emerging opportunity in copper

By **Krishna Gopalan**

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► **LIKE MANY ENGINEERS** before him, Satish Pai headed for foreign shores after picking up a degree in mechanical engineering in 1985 from IIT Madras. For 28 years, he worked for the US-based oilfield services company Schlumberger.

In 2013, he returned to the country of his birth to take charge of Hindalco's aluminium business. Working for the Aditya Birla Group, a diversified \$65-billion conglomerate, promised to be an interesting experience. And surely, it hasn't disappointed him, since Pai, Managing Director of Hindalco Industries, has had to navigate the company through many twists and turns across markets. He is looking to position the company as a downstream value-added player, even as it looks to ramp up its play in copper.

But Pai, winner in the Super Large Companies category of the BT-PwC India's Best CEOs ranking this year, walked into a major crisis in India. In 2014, the Supreme Court cancelled the allocation of coal blocks to public and private enterprises in light of the coal scam. It was a hugely challenging time.

"Till then, we worked on a model where input costs were zero, and it helped us make a substantial amount of money," says 62-year-old Pai. A changed scenario meant paying the market price. "Indian manufacturing needed to face global competitive standards and had to get very efficient."

Putting on his thinking cap, Pai looked for India's big advantage. Brain power stood out and so he pushed hard on downstream—engineering products and solutions—and eventually led to a thrust on value-added products. "Today, Hindalco products are a lot more visible in buses and aircraft, and we did not realise how much of an impact downstream would have," explains Pai.

To Pai, coming up with a strategy is not a eureka moment but a response to the environment. "The coal block issue was a shock, and Hindalco's shares were down to ₹70 (it is around ₹570 now), but we needed to make things work."

